CONFIDENTIAL
Enron Corp.
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ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Ken Lay and Jeff Skilling <ken.skilling@enron.com>
Sent: Tue, 13 Mar 2001 08:17:00 -0800 (PST)
To: All Enron Worldwide <all.worldwide@enron.com>
Subject: California Energy Crisis

California■,s power crisis has generated heated debate over the last several months. Unfortunately, this debate has generated more heat than light. We want you to know what the facts are and what we are doing about the crisis. Please spend a few minutes reading the following overview on the situation and our position on California energy issues.

What happened in California

The source of California■,s current problem is as straightforward as supply and demand. California■,s economy grew 29 percent since 1998. This increased the demand for electricity by 24 percent. At the same time, regulatory restrictions prevented new generation from getting built in the state. So demand grew but regulations prevented supplies from being added. The result, predictably, is a shortage. This summer, peak capacity will be about 10 percent shy of peak demand, leading to further blackouts in the state.

In addition to the supply and demand imbalance, there are two other related factors that led to the current crisis. First, the state■,s regulations forced all sales and purchases into the spot market. The spot market for power is extraordinarily volatile. The way firms behave in a free market when faced with such volatility is to construct a portfolio of purchases long term, medium term and short term, to reduce exposure to this volatility. In California, state regulation prevented this strategy. This would be the equivalent of putting the entire state on an adjustable rate mortgage in the most volatile interest rate environment imaginable. Everything was fine while the power surplus persisted, but when shortages ensued, every megawatt was purchased at the sky rocketing spot price.

Second, retail markets were not deregulated. Regulated retail rates remained in effect, and stranded cost recovery charges were structured to keep competition out. This meant that utilities were forced to pay high wholesale prices in the spot market but were only able to recover costs at the regulated retail rate. They are now nearly bankrupt.

In short, California■,s problems were caused by regulation, not deregulation. Regulations prevented competitors from entering the market, prevented new generation from being built, and prevented prudent hedging against volatile spot prices.

At the time California was developing its restructuring plan, Enron warned

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the state■,s policy makers about these risks and proposed alternatives, which, if adopted, would have averted the current crisis.

Enron■,s Role

Many political leaders in the state have elected to fix blame rather than fix the problem. Power sellers, including Enron, have been vilified by the politicians and the media. Here are the facts:

? Other than a small amount of wind power, Enron is not a generator in the state of California. Every megawatt we sold in California we bought in the same market available to other California purchasers. Because we are a market maker, not a generator, we are not biased toward high prices. We are interested only in having a market that works so that we can package products for our customers.
? As a seller to end-use markets in the state, we provided protection from the problems the states■, utilities, and their customers, now face. We protected, and still protect, our customers from price volatility.

You may have read that EES recently elected to have the utilities supply power directly to its customers in California instead of procuring power on the open market. Early reports mischaracterized this as a ■&turnback■8 of our customers to the utilities. Here are the facts:

? As a result of a variety of factors existing in the current California market, it made more sense for EES to source power for its customers directly from the utilities. This decision reduced EES■,s market price risk by allowing EES to access lower utility rates.
? EES did not terminate any customer contracts, and our customers continue to receive the financial benefits of their contract prices.
? EES is continuing to work with its California customers to provide them with other energy-related products and services, including assistance in reducing the demand for power, particularly at peak times.

Enron is currently proposing solutions to help California work out of its crisis; Enron continues to sign up customers in the state; and Enron continues to actively manage its risks and capture opportunities in Western power markets. Enron■,s primary business is managing risk for our customers with solutions customized to meet their needs. There has never been more demand for our products and services.

The Solution

The solution to California■,s crisis is also straightforward. In summary, the state must increase supply, reduce demand, reduce reliance on the spot market

and shore up the financial stability of the state■,s utilities.

Increasing Supply

California■,s process for siting and permitting new generation is nothing short of Byzantine. Enron has built plants elsewhere in the country in less than a year. In California, it often takes 5 to 7 years. California simply must streamline this process. Ironically, while many of the regulations generators must overcome are aimed at improving environmental quality, the regulations are preventing new clean technology from coming online and displacing current plants, which emit 40 times as much NOx. California can have abundant power and cleaner air by expediting the permitting of new facilities.

Reducing Demand

Customers in California today have no incentive to reduce or shift demand. They pay the same rate no matter what the market price is. An open retail market would trigger demand responses, which would balance supply and demand at lower prices than today. California should fully open its retail market.

Reducing Reliance on the Spot Market

In a truly deregulated market, customers would protect themselves from